



KATHLEEN VALLEY

VICTORIA MEDVEC

Adam Baxter Company/Local 190 1985 Negotiation Local 190 Confidential Information¹

It is July 18, 1985, exactly one month prior to the expiration of the contract established in the 1978 labor agreement. In the 1981 wage negotiation between the International AFL/CIO and a number of the food processing companies including Baxter, the base wage rate was frozen at \$10.69. Following significant changes in the industry, wages were renegotiated at nearly all of the food processing companies. In your 1983 negotiations with Baxter, wages were renegotiated and set at x .²

Since your last negotiation, relations between labor and management at the Deloitte plant have been increasingly acrimonious. Preliminary negotiations have produced no movement on either side's part, and little evidence that an agreement will be reached soon. Both sides publicly acknowledge the likelihood of a strike when the current contract expires in August. You and the rest of Local 190 leadership have been vocal and clear about your "no concessions" stance. You have begun to prepare for a strike by getting finances in place and hiring a New York City public relations firm to tell 190's side of the story. In a show of no-faith, management recently purchased \$80,000 of barbed wire to circle the packinghouse, claiming it was needed for protection of the plant and its workers. Part of the current tension is due to the specific situation in Deloitte, but part is probably attributable to the climate of labor relations in general—throughout the nation, industrial relations are in turmoil. Some have gone so far as to claim that this era will see the end of organized labor in the United States. You fear they may be right, but hope that Local 190 may be able to stem the rising tide against unions across the country.

On May 31, 1985, Baxter management announced that if the company and Local 190 have not come to an agreement by the expiration date of the current contract, it will terminate the current

¹ Endnotes (indicated by letters) are summarized in the final case, "Adam Baxter Company/Local 190 Debrief and Endnotes," HBS No. 396-326.

² Use your agreed-upon wage here. If you did not come to an agreement, use the arbitrator's decision: the arbitrator agreed with management that the "me-too" clause was applicable to falling wages as well as to rising wages. Thus, the arbitrator ruled that the base-rate wage be set at \$8.67/hour, calculated by taking the three highest of the competitors' wages and averaging them.

contract. Any employer in the United States has the right to terminate a contract when it expires, but few do so because of the negative impact on bargaining and the likelihood that such a move would precipitate a strike; instead most companies continue to honor the previous contract during contract negotiations. During the early 1980s, with its high unemployment and negative legal climate for labor, many unions have been reticent to strike and companies are beginning to terminate contracts during bargaining whenever they perceive an advantage to doing so. Baxter's termination of the contract could have three important and very negative effects on Local 190: 1) the 52-week layoff notice requirement would no longer be in place, and management could give layoff notices effective at the date of the notice; 2) laid-off workers could lose their right of first refusal on any new jobs; and 3) wages could be set at any rate, determined by management. By law, if management terminates the contract, 190 can choose to either strike or work under the conditions specified in management's final offer before the contract deadline. If you strike, Baxter can legally hire replacement workers.

Operations at Baxter have seen some important changes since the end of your last negotiation. The new plant is operating efficiently, and is viewed by many in the industry as the most efficient plant of its type in the world. In the old plant, a team of workers stuffed sausage into casings; in the new plant, one worker slips the casing over a spinning disk as the machine fills and cuts twenty-five sausages every minute. This is but one example, but the entire plant runs this way; a machine manned by one worker now accomplishes in four hours what used to take a group of workers a shift to complete. A computer monitors all the operations in the plant, calculating the most cost-efficient method of fitting production to the currently available supply of meats, vegetables, and other food products. It is obvious from looking at operations in the new plant and reading the company's financial reports (see **Exhibit 1**) that Baxter is doing well and can afford to treat its workers accordingly.

For two years after the new plant was built, Baxter provided attractive severance packages to motivate old employees to retire while they hired over 350 new employees each year. Because of the rapid rate of hiring, the new employees were trained on the line by others who were just learning the ropes in the new plant. This resulted in two unintended consequences: first, the new employees were quickly introduced to the real problems with the new plant rather than socialized (or brainwashed) by management trainers; second, the rate of injuries in the new plant is significantly higher than that in the old plant and higher than the industry average.

You are enraged about the injury rates. Injury records maintained by the company's own first aid logs show that the injury rate is 202 injuries per 100 employees. Management argues that this figure is exaggerated, though they admit that Deloitte has more workdays lost to injury than Baxter's other plants and than the industry average. Management claims most of the injuries result from the employees' inexperience with the different working patterns required by the up-to-date technology of the new facility. In response to your complaints about the dangerous working conditions in the new plant, the Human Resource group has become involved, distributing a brochure on safety to each of the employees. The employees don't need safety brochures! What they need is to have the speed of production slowed down, and to have full voice in the work rules so that they can control how they work on the line. The workers are the ones who know what works and what doesn't—management mandated work rules and the speed of the line are the cause of the problem.

The injury rate is not the only problem that has arisen due to the elimination of the production quotas and incentive plans in the 1978 contract. The employees are demoralized. For example, because the new lines run continuously, it is necessary that all stations be manned at all times. This, in turn, simply means that if an employee must leave the line, he or she needs to let a supervisor know so that a replacement can be called. It used to be that teams monitored themselves; now there

are supervisors everywhere, looking over everyone's shoulder. Management needs to realize that the old way worked—employees know how to run the line better than any supervisor.

One other point of friction is that employees in the new plant are working harder for less money. The incentive program has not been reinstated, in spite of management's verbal commitment during the 1978 bargaining session that they would determine a new incentive plan when the new plant was fully operational. It is obvious now that they never had any intention of doing so. Though employees who were carried over from the old plant still receive money out of the escrow account to bring their take-home pay up to the level it was before the incentive program was eliminated, this only insures that long term employees can never get a raise. If wages increase, the money coming out of the escrow account decreases accordingly. It is only new workers who do not receive escrow account payments.

Many employees are beginning to express concern about the wage changes over the past few years. One employee who has worked for Baxter for 43 years claims that lowering wages is "...just the mood of the industry and they're jumping on the bandwagon to be one of them to be able to say, 'We were able to do it too.'"⁸ She argues that Baxter should become a "shining example that in hard times, if you really have good productivity and a good relationship with your employees, that you're able to handle the bad times."⁹ You agree and have said so in many public meetings: "I would like to stop the injustice the working man gets from a man in a pin-stripe suit."¹⁰ You are afraid that the weakening of labor in all industries throughout the country will be the legacy of the 1980s, and it is time to rally. Your public relations consultant put it well in a recent meeting with the members, "You can't allow the company to lay the ground rules. You can create a moment in history so people can ...say, 'That's where they turned back the onslaught on the labor movement.'"¹¹

Baxter's abuse of the current contract language, the dangerous working conditions in the new plant, and the growing unrest of the workers in Deloitte place a lot of pressure on you to do well in this negotiation. As you prepare with the two other members of your team, you realize there are a number of issues that must be negotiated into the new contract. These include layoff and hiring procedures, incentive pay, work rules, and wages, discussed in detail below:

Incentive Program

The rationale behind eliminating the incentive program in the 1978 negotiation was that the new plant would have very different operating speeds and procedures from the old plant, making it impossible to define acceptable production levels before the new facility was completely operational. But the plant has been open for three years now, and there is plenty of information about production and profit levels that can be used to formulate a reasonable incentive plan.

The current injury rate in the plant strongly suggests that the present pace of production is so high that it is dangerous. Not only is this unsafe for your workers; it is also costly to Baxter—lost workdays affect profits. You would like to see production targets set at 80% of the current level, with anything above that paid for through incentives. You are willing to give a little on this, but feel it is very important that Baxter and its employees once again develop a cooperative mode of production. The pace at which the plant is now operating is not only harmful to your members' morale; it is hazardous to their health.

Work Rules

There is no way to predict all of the work rules that may arise over the term of the contract. In the old plant this was not an issue, because management simply set production standards and workers determined the best way of achieving them. This method worked well for decades: production levels remained high; injuries were rare; and workers controlled their workdays as well as their paychecks.

In the new plant, with the elimination of the incentive plan, management has instituted numerous work rules that serve mainly to demoralize the workers. For example, workers have no voice in establishing the most efficient way to complete a given task at any point on the line. The best way to deal with these rigid rules is to reinstate production quotas and incentive pay, and allow the workers to determine the best way to meet the quotas. This is a very important issue to you in this negotiation.

You understand that management is unlikely to return completely to the old way of doing business. If you cannot eliminate all management control over work rules through a comprehensive incentive plan, you would like to institute some process whereby management and union representatives have an equal voice in the establishment of work rules. The rate of injury must come down, and this is a critical element for making this happen.

Layoff And Hiring Procedures

Since the 1978 negotiation, Baxter has provided generous retirement packages to urge veteran employees to leave the company. This bribery has allowed management to trim its workforce considerably. Then they turn around and hire new, rookie employees who are cheaper to employ because they are not covered by the escrow account. Management is now stating that layoffs may be necessary in the future. You fear they will want to lay off the more seasoned, and more expensive, veteran employees.

You and everyone else in 190's leadership feel strongly that the 52-week layoff notice must be retained. In addition, layoff lists should be determined by seniority only. The people who have been around longer are better employees—they know the business; they know their jobs; they understand what is an efficient work practice and what is not. Plus, the role of a union is to protect its long-standing members.

If layoffs are necessary, any new hiring should be done off the layoff list. The laid-off workers are the people that can be easily hired back without any additional training expenses—they already know the tasks and the company. Besides, this is standard practice in nearly all manufacturing industries. You see no reason why Baxter would be an exception.

This is a critical issue to you: you can't provide benefits for your members if they're not working.

Wages

In the last contract negotiation, you agreed to a wage rate of x (See footnote 1). Given the company's recent increases in sales and net earnings, you feel it is reasonable to request part of the surplus be shared with the workers who have sacrificed so that the company could achieve this success.

Summary

You believe it is possible to negotiate a contract that will provide your workers with a safe work environment, a reasonable income, and job security. But if you cannot reach such a contract, you have decided to recommend to your members that they vote against the contract and strike. In spite of all the rhetoric flying around, you hope you don't have to strike. It has been over 50 years since the last strike. This is a point of pride for both your members and Baxter's management, and both sides realize the potential costs of such a move.

But a strike is better than agreeing to a contract that further erodes the benefits to your members. They voted you in on a platform of no concessions, and you intend to remain true to your pledge. You also believe strongly that the movement against labor in the United States has gone far enough. It's time that management and government come to realize that they can no longer profit at the expense of the common man.

Exhibit 1 Financial Summary: Adam Baxter Company and Subsidiaries (in thousands of dollars)

	1985 ^a	1984	1983	1982	1981 ^b	1980	1979	1978	1977	1976 ^b	1975
Operations											
Net Sales	\$1,502,235	\$1,454,527	\$1,417,705	\$1,426,596	\$1,433,966	\$1,321,966	\$1,414,016	\$1,244,865	\$1,106,274	\$1,094,832	\$ 995,593
Net Earnings	38,618	29,492	27,897	28,051	27,283	32,758	29,970	20,039	21,951	14,717	13,366
Percent of Sales	2.57%	2.03%	1.97%	1.97%	1.90%	2.48%	2.12%	1.61%	1.98%	1.34%	1.34%
Wage Costs	233,512	241,210	250,724	269,964	270,522	254,303	233,878	200,631	191,719	179,588	167,049
Total Taxes	40,500	30,394	28,483	22,805	18,796	28,077	27,635	18,431	23,276	14,127	13,102
Depreciation	28,087	27,056	26,410	17,587	13,887	13,452	12,102	11,551	11,313	10,697	9,140
Financial Position											
Working Capital	\$ 152,985	\$ 106,332	\$ 95,403	\$ 69,527	\$ 59,440	\$ 69,843	\$ 84,646	\$ 89,298	\$ 79,253	\$ 63,957	\$ 64,350
Properties (net)	264,679	263,929	270,103	276,684	228,813	160,825	119,213	103,992	99,921	97,465	85,398
Total Assets	560,939	525,322	512,559	488,859	425,065	355,853	323,149	275,442	258,283	228,585	224,488
Stockholders' Investment	311,605	283,362	263,861	245,570	226,741	208,296	183,608	166,870	153,363	136,792	126,879
Per Share of Common Stock^c											
Net Earnings	\$ 2.01	\$ 1.53	\$ 1.45	\$ 1.46	\$ 1.42	\$ 1.70	\$ 1.56	\$ 4.17	\$ 4.57	\$ 3.06	\$ 2.78
Dividends	0.54	0.52	0.50	0.48	0.46	0.42	0.37	1.36	1.12	1.00	0.92
Stockholders' Investment	16.22	14.75	13.73	12.78	11.80	10.84	9.56	34.74	31.93	28.48	26.42

a)Projected; based on 4month actual.

b)53 Weeks.

c)Figures per share for all periods presented have been restated to give effect for the two-for-one stock split which occurred during the year.